Standard Operating Procedure

SOP – AZ-203 Supplier and Service Provider Approval Procedure		
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Revised By:	(SIGNATURE)	Date:

Review & Approval

Functional Manager	**Ruben Urias**	(SIGNATURE)	Date: 8/19/2026

1. Purpose

This procedure establishes how HubStarr Logistics evaluates, approves, and monitors suppliers and service providers whose products, materials, or services could affect HubStarr's operations, regulatory compliance, or the safety, security, or integrity of goods, personnel, or facilities in its care. It supports the supply-chain preventive controls in HubStarr's food safety plan and the business-partner screening expectations of CTPAT and TAPA. Where an external standard or regulation is referenced, the current published version applies.

2. Scope

Applies to every supplier and service provider used at any HubStarr Logistics facility, regardless of the good or service — sanitation and chemicals, pest control, laboratory and calibration, equipment maintenance, on-site contracted labor, transportation and carriers, packaging, security, and IT. Vendors needing access to the CBP bonded warehouse area must also complete the Customs Evaluation and Business Partner Verification process; vendors, contractors, or customers with a recurring on-site presence must also sign HubStarr's Third-Party Vendor, Contractor & Customer Site Agreement. Excluded: clients whose goods HubStarr stores under a separate client agreement.

3. Definitions

1. Supplier / Service Provider — any entity that provides materials, equipment, or services to HubStarr.
2. Approved Supplier — a vendor that has met this procedure's requirements and is listed on the Approved Supplier List.
3. Emergency (Temporary) Supplier — a vendor used on a short-term basis when an approved supplier is unavailable; requires written approval before use.
4. Compliance Manager — the individual responsible for this procedure (e.g., PCQI, Compliance Manager, or designee).

4. Responsibilities

5. Compliance Manager — owns this procedure, maintains the Approved Supplier List, and approves new and emergency suppliers. Higher-risk (Tier 1) approvals require a second reviewer from Compliance or Operations leadership.
6. Procurement / Operations — submits new vendors for review before first use, collects required documentation, and may approve Tier 3 (low-impact) vendors directly without Compliance Manager review.
7. All Workers — use only approved vendors and report any unapproved vendor activity to the Compliance Manager.

5. Risk-Based Tiers

Vendors are tiered by the potential impact of their product or service on HubStarr's compliance, safety, security, or operations. Definitions are intentionally general, so this procedure need not be revised as vendor types change:

8. Tier 1 (High Impact) — direct impact on product safety or integrity, security, bonded/restricted-area access, or regulatory compliance. Requires full documentation and a second reviewer.
9. Tier 2 (Medium Impact) — on-site or operational services without direct high-impact exposure. Requires standard documentation.
10. Tier 3 (Low Impact) — limited-access, administrative, or one-time vendors. Requires basic documentation only, and may be approved directly by Procurement — no Compliance Manager review required.

Any vendor that transports goods for HubStarr, enters a facility unescorted, or holds access to HubStarr systems is classified no lower than Tier 2, regardless of service type.

Every vendor's agreement or PO terms must carry HubStarr's written security requirements and an obligation to disclose subcontracting, and every vendor is screened against denied party and sanctions lists before approval. The Compliance Manager sets any additional documentation by risk — licenses or accreditations, specifications, a security questionnaire or other evidence of a written security program, and CTPAT, AEO, PIP, or TAPA status where held. An insurance certificate is required for vendors performing on-site work or entering the facility, but not for remote, analytical, or retail/commodity purchases, where a signed agreement or PO terms suffice. A 24-hour emergency contact is kept in the vendor file.

Documentation on file for each vendor is tracked on the Approved Supplier List, not here, so routine changes don't require SOP revision.

6. Approval Workflow

11. Phase 1 — Classify & Document: Procurement identifies the need; the Compliance Manager assigns a tier (Procurement may self-classify obvious Tier 3 cases); documentation for that tier is collected.
12. Phase 2 — Approve: The Compliance Manager approves Tier 1 and 2 vendors (Tier 1 requires a second reviewer); Procurement may approve Tier 3 directly.
13. Phase 3 — Activate: the vendor is added to the Approved Supplier List with tier, approval date, and reverification due date, and Operations is notified it is cleared for use.

7. Emergency (Temporary) Vendor Use

When an approved vendor cannot deliver and a substitute is needed immediately, the Compliance Manager or designee must approve in writing (email is acceptable) before use, with the reason documented. Insurance and a signed agreement or PO terms are collected at the time of use. The vendor is listed on the Approved Supplier List as “Emergency – pending full approval” with 30 days to complete full documentation or be removed. Emergency use is reviewed periodically for trends.

8. Ongoing Monitoring & Reverification

Approved vendors are reverified at least: Tier 1 annually, Tier 2 every 24 months, Tier 3 every 36 months. The Compliance Manager may tighten these intervals based on risk. Each reverification is recorded on the Approved Supplier List Reverification Log tab with the documents reviewed, findings, action taken, reviewer, and next review due.

In addition to scheduled reverification, the following events trigger an immediate review:

14. A complaint or incident traceable to a vendor-provided material or service.
15. A recall or failed test/inspection result affecting a supplied material.
16. A negative finding from an internal or external audit related to a vendor.
17. A change in vendor ownership, location, or scope of services.
18. Cargo loss or theft, a seal or lock discrepancy, or unauthorized facility or system access involving the vendor.
19. Subcontracting by the vendor that was not disclosed to HubStarr.

9. Suspension and Removal

A vendor may be suspended or removed for: expired and not-renewed insurance, license, or accreditation; repeated failure to meet specifications or service expectations; a confirmed incident traceable to the vendor; a positive denied-party or sanctions screening result; or failure to respond to a corrective action request within 30 days. Suspension is communicated in writing by the Compliance Manager. Removed vendors are flagged on the Approved Supplier List with date and reason; renewed use requires re-approval from scratch.

10. Records

All records generated by this procedure — the Approved Supplier List, vendor documentation, reverification reviews, emergency approvals, and suspension notices — are retained per AZ-122 Record Retention SOP.

11. Related Documents

20. Approved Supplier List (working register — tier, service category, sites served, documents on file, key expiration dates, approval, status, and reverification due).
21. Customs Evaluation and Business Partner Verification SOP (required for bonded/restricted-area access).
22. HubStarr Third-Party Vendor, Contractor & Customer Site Agreement (required for recurring on-site presence).
23. AZ-122 Record Retention SOP.
24. AZ-127 Risk Review SOP / CAPA process.
25. Additional domain-specific procedures may apply depending on the nature of the vendor (e.g., AZ-201 Hazard Analysis, AZ-202 Allergen Control Program, the Incoming Material and Service Specifications document, security or bonded-warehouse requirements, safety programs).
    - **Document History:**

Revision	Change	Effective date
ORG	Initial issue	8/19/2026

This process is required to be reviewed, at a minimum, on a 3-year cycle. If there are no changes to the previous revision the signature below is evidence of the review and approval of this procedure.

Reviewed By: _____ Date _____

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